

FX Daily: Bearish yield curve steepening hits risk assets

The sell-off in bond markets is the dominant story in global financial markets. Some worrying signs in US inflation last week have seen US Treasury yields break higher and question whether the Fed is behind the curve on inflation. High oil prices and higher bond yields are a big headwind to risk assets and stand to keep the dollar supported in the near term



A bearish steepening of the US yield curve is weighing on risk assets and supporting the dollar

📈 USD: Pressure builds on the Fed to turn less dovish

The top story in financial markets is the sell-off in the bond market. Losses have been led by the long end of the curve to deliver bearish yield curve steepening. While UK politics may be blamed for a small part of the global bond market sell-off, the bigger story is 10-year US Treasury yields rising to their highest levels since early 2025. This followed a raft of higher-than-expected US inflation data last week, where final demand PPI rose at 6% year-on-year in April – levels we have not seen since early 2023. This kind of inflation is pressure-testing the Federal Reserve and swinging behind the three dissenters at the April FOMC meeting, against the implicit easing bias in the FOMC statement. Looking at the bearish steepening in the bond market today, the narrative is one of the Fed potentially 'falling behind the curve' and the need to at least sound hawkish, even if it does not necessarily hike.

US data this week will not shed too much light on the inflation story. Perhaps Friday's release of

University of Michigan inflation expectations (final readings for May) will garner some interest. More interest will be taken in Fed speakers and communication this week. Wednesday's release of the FOMC minutes will shine a light on the hawkish dissent; we're more interested in Fed speakers, though, with Christopher Waller due to speak tomorrow and deliver a speech on the economic outlook on Friday. His most recent speeches seem to have pushed for a prolonged pause in monetary policy, but any shift towards the need for a hike would be dramatic. Were that to be seen, the yield curve would flatten, and the dollar would probably rally further.

High oil prices and now a sell-off at the long end of the bond market are a bearish double whammy for EMFX and for risk assets in general. And the highlight for US equity markets this week will be whether Nvidia's earnings can deliver on Wednesday and keep the increasingly narrow advance of the S&P 500 ongoing. Given that equity markets have been an increasingly important driver of the dollar over recent weeks (risk on, dollar off), the challenges of continued high oil prices and now a bond market sell-off warn of a more difficult equity environment and the dollar staying supported.

DXY faces gap resistance at 99.50 and probably support at 99.00. Later today, we will also see US TIC data for March. So far, there have been no signs of foreigners leaving US securities markets in size. And the recent strength of the dollar is a reminder that last year's loss of safe-haven status after Liberation Day tariffs was more cyclical than structural.

Chris Turner

📌 EUR: Bond sell-off to weigh on growth expectations

Given that the euro is a growth-sensitive currency, the short-term news flow has not been welcome. High energy prices and now higher long-dated interest rates are a headwind to growth. And China's April activity data appeared [uniformly bad](#). Ideally, the European Central Bank would not be hiking into a stagflationary supply shock, but the risk of trying to look through a temporary inflation spike is the loss of control at the long end of the bond market. As such, the ECB will need to continue sounding hawkish, and the 75bp of ECB tightening priced into money market curves this year may endure – that is, unless something breaks.

On the subject of growth, this week's economic calendar sees the flash PMI surveys for May, where the composite reading is expected to have drifted further into contractionary territory. We also have several ECB speakers this week, and perhaps Chief Economist Philip Lane's session in Frankfurt tomorrow might be the first opportunity to hear what the ECB thinks of the recent bond market sell-off.

Expect much focus on the long end of the bond market today, with any further sell-off driving EUR/USD down to 1.1570. The case for restocking on EUR/USD longs right now has yet to be made.

Chris Turner

📌 GBP: Local and global problems

Sterling is being hit by local politics and the global bond market sell-off. As we discussed in an [article on Friday](#), it is hard to see any early resolution to the UK political drama. A by-election will take place in June, where Labour leadership challenger Andy Burnham is far from guaranteed a win. Depending on the outcome of that by-election, we could then see a full leadership

election taking place through July and potentially into August. During this period, international investors may want to avoid UK exposure, and at its extreme, another 3-4% in risk premium could be priced into sterling.

At the same time, the Bank of England will be facing similar challenges to its peers in the central bank community – largely centred on what to do about the inflation shock. This week's release of April UK CPI is actually expected to be quite mild because of base effects. But today we hear from rate-setters Megan Greene and Catherine Mann. Let's see if they want to side with Chief Economist Huw Pill, who was the sole voter for a rate hike last month.

EUR/GBP looks biased towards 0.8740, while GBP/USD looks headed towards strong support in the 1.3250/3300 area.

Chris Turner

CEE: The situation is becoming too heavy for the region

Typically, the second half of the month sees the CEE region more muted, and the global story takes the lead. Today in Poland, we will see core inflation for April, which likely rose from 2.7% to 2.9% YoY. On Wednesday, PPI in the Czech Republic and wages in Hungary will be published. On Thursday, wages, industrial production and PPI will follow in Poland. Overall, the data this week has little chance of attracting the market's attention.

On Friday last week, global markets again pulled the CEE region into a risk-off mood, and we saw a quick reaction in rates while FX remained stable. In Poland and the Czech Republic, we again approached 100bp of tightening priced in the 12-month horizon – almost the highest pricing since the beginning of the US-Iran conflict. The market has clearly not forgotten that the conflict is still ongoing, and the Strait of Hormuz is key to seeing any relief here.

However, there aren't too many implications for FX. EUR/PLN maintains a range of 4.230-260, and EUR/CZK remains in the range of 24.300-400. More interesting is the forint, which saw some correction last week and ended above 361 EUR/HUF on Friday. The currency appears to have the largest long positioning in the region by far and therefore also the highest beta against the global story. The lack of progress on the Iran conflict and oil prices, together with a stronger US dollar, is not good news for the forint or the rest of CEE. Therefore, the near-term bias for the region remains bearish over the next few days unless we see some progress on the global side.

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Makary's successor faces tough task managing FDA amid budget cuts

The Trump administration's recent cuts at the FDA have put the agency's executive capacity under strain, which may lead to medicine shortages and less innovation. Marty Makary's successor as the new FDA commissioner thus faces a tough task



Marty Makary at a news conference earlier this year

Executive summary

Marty Makary, the US Food and Drug Administration (FDA) commissioner, has been ousted just over a year into the role amid criticism from both inside and outside the Trump administration, over his stance on flavoured vapes and abortion pills, among others.

Makary's yet-to-be-confirmed successor faces a challenging task in maintaining drug supply and fostering innovation amid significant budget cuts from the Administration.

Why the FDA's executive capacity matters

The executive capacity of the US Food and Drug Administration (FDA) is critical. It proactively

monitors drug supply chains, which can nip potential manufacturing issues and medicine shortages in the bud.

The agency also ensures the timely review of new drugs and medical devices, thereby balancing innovation with rigorous safety standards.

The FDA's ability to balance speed with safety helps explain why the US has a more innovative pharmaceutical sector than Europe. It approves new treatments more quickly while still maintaining rigorous safety standards. In short, the FDA is critical to preventing drug shortages and fostering innovation.

Yet the Trump administration recently proposed a roughly \$7bn (5.5%) cut to the FDA budget for the 2026 fiscal year, plus a wider Health and Human Services (HHS) budget cut, which lowered the FDA's headcount. Both cuts have reduced the FDA's executive capacity, increasing the risk of drug shortages and undermining the US pharmaceutical sector's innovative capacity.

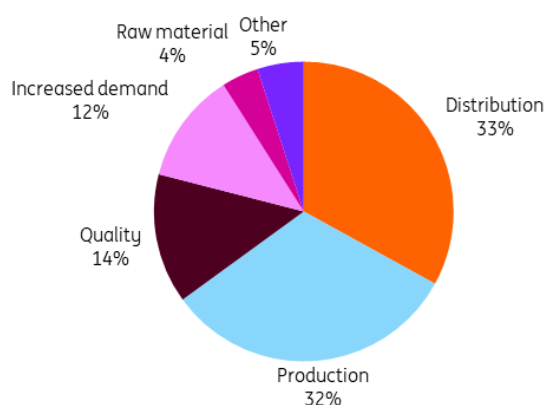
FDA cuts risk increasing drug shortages

When FDA inspections of manufacturing facilities and drug supply chains become less frequent, incentives for preventive maintenance, quality staffing, and internal controls decrease, especially when plant managers are under pressure to meet production and cost targets.

Over time, this may lead to manufacturing problems that disrupt production and increase the risk of medicine shortages. Especially because production and distribution together account for roughly two-thirds of medicine shortages.

Distribution and production account for two-thirds of medicine shortages

Reasons for drug shortages in percentages, 2023



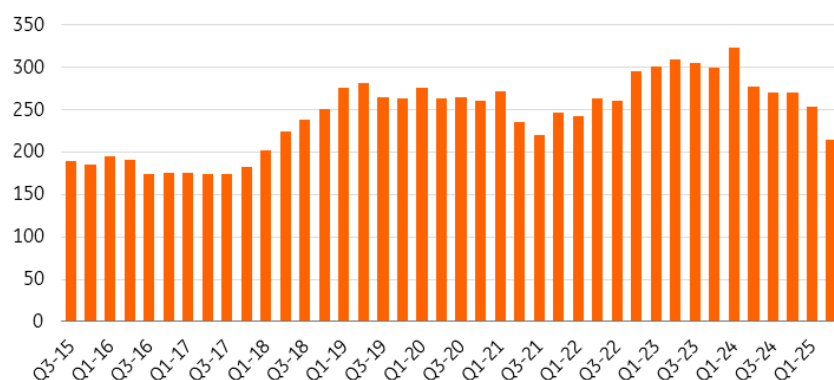
Source: KNMP; ING

New research from Tilburg University and ING finds that when an FDA inspection is delayed, the risk of a drug shortage rises sharply for any product made in a facility that is inspected late, or not inspected at all. This is particularly true for high-risk medicines (i.e. medicines that are clinically critical and complex to manufacture).

High-risk medicines (such as cell/gene therapies) are correlated with a 2.5 times higher risk of shortage when an FDA inspection runs late, with shortages often peaking nine to 15 months after a plant's delayed inspection. The correlation is particularly strong for injectables, which have a roughly 3.5-fold higher risk of shortage. By undermining the FDA's executive capacity, the US administration risks exacerbating drug shortages, which are already elevated globally due to fragile supply chains.

US drug shortage remains high

Active US drug shortages by quarter



ASHP; ING

FDA cuts also put the innovative capacity of the US at risk

The FDA budget cuts could also threaten the sector's innovative capacity. The Government Accountability Office (GAO) reported last month that employee churn, hiring challenges and investigator attrition have reduced inspection capacity, including the Bioresearch Monitoring (BIMO) programme.

BIMO inspections assess the conduct of clinical trials, data reliability, and participant protection. Training investigators takes two to three years. Fewer inspections may weaken oversight, slow approvals, and delay medicine launches, which has historically been an edge for the US. In the same month, the FDA shifted Phase 3 approvals from two trials to a single, confirmatory-evidence-supported default. This can potentially speed up access but increase reliance on a single study. Meanwhile, strained inspection support hampers plant inspections that safeguard quality and prevent shortages.

In short, the cuts at the FDA may delay time-to-market in the US and compromise drug safety (particularly in therapeutic areas such as psychiatric drugs). But most importantly, they threaten the FDA's predictability, thereby adding volatility for drugmakers. This, in turn, is bad for investment in a risky sector such as biotech and could hamper innovation in the medium run.

It's no wonder, then, that hundreds of industry leaders signed a letter to now former FDA Commissioner Marty Makary about the importance of a predictable regulatory agency. They cited a survey in which 82% of biopharma respondents said they were concerned about the FDA's ability to function.

Makary's successor should keep the FDA focused on execution

FDA drug approvals remain broadly on time, and the agency retains many excellent people. For Makary's successor, the priority now is to keep the machine running: retain and empower experienced staff, keep reviews predictable and transparent for industry, and triage inspection and shortage-prevention work toward the highest-risk products and facilities. The budget cuts are worrisome – and the most practical response is a disciplined focus on execution that protects both supply reliability and the FDA's credibility.

A very special thanks goes to Jurgen Vermeulen for his help with this report.

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China's April slowdown highlights dilemma between growth and inflation

China's domestic activity data disappointed across the board in April, signalling a second-quarter slowdown. Weaker growth and rising inflation could complicate policymaking in the coming months



Retail sales slumped to lowest level since 2022

China's retail sales slowed to just 0.2% year-on-year in April, down from 1.7%, coming in much worse than market forecasts for a modest acceleration. This was the slowest month of growth since 2022.

The weakness of retail sales was broad-based. There are two key themes for this month's data.

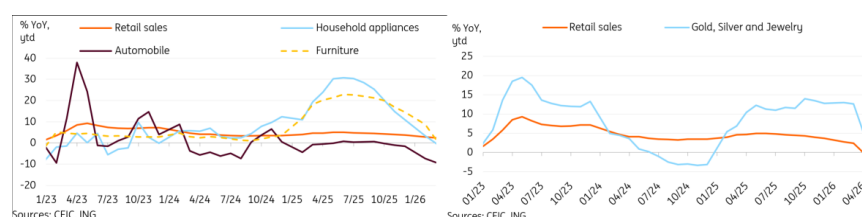
The first theme is that we're now paying the price for front-loaded demand from the trade-in policy, which we have been warning about since last year.

- Auto sales also continued to show signs of weakness, down -15.3% YoY. Replacement demand for vehicles purchased in previous years hasn't come in yet, and many prospective buyers have already made their purchases.
- Household appliances (-15.1%) and furniture (-10.4%), two of last year's major beneficiaries for the trade-in policies, are now deeply in contractionary territory.

The second theme concerns a pullback in gold prices following the outbreak of the Iran war. We saw a -21.3% YoY drop in gold and jewellery sales in April, as gold prices stabilised at lower levels -- after falling from record highs at the start of the year.

Outside of these themes, there were a few bright spots in the data. Consumer staples generally outperformed, with catering (2.2%), grains and oils (4.1%), beverages (3.6%), and alcohol and tobacco (11.7%) all outperforming headline growth. Apparel (3.6%) and cosmetics (4.7%) fared relatively well. However, these categories clearly weren't enough to salvage overall growth.

Trade-in policy headwind and falling gold prices drive April's retail sales miss



Industrial production unexpectedly slows despite export boom

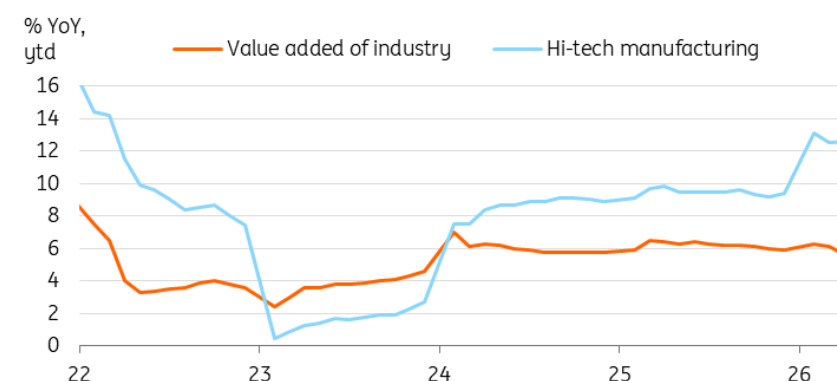
Industrial production slowed to 4.1% YoY in April, down from 5.7% in March. This also came in much lower than market expectations, registering a 33-month low.

The softness of industrial production was surprising, given the strong export data that we have been seeing in recent months. A look at the subcategories suggests that this export-driven momentum is still supporting the data, with auto (9.2%), rail, ships, and aeroplanes (8.2%), and computer, communication, and other electronic equipment manufacturing (15.6%) all well outperforming headline growth. Hi-tech manufacturing (12.8%) continues to fare well, with solid growth in both industrial (15.1%) and service robot (12.3%) production.

However, sluggish domestic activity is dragging many other categories. Real estate-related categories, such as cement (-10.8%), glass (-7.9%), and steel (-1.7%), were clear underperformers. We may also be seeing the impact of anti-involution policies, as solar cells declined -25.6% YoY in April amid a broader crackdown on overcapacity and excessive price competition.

The impact of the Iran War is also appearing in the data. Crude oil processing volume fell -5.8% YoY on the month. Electricity, heat, gas, and water production and supply bucked the broader trend, accelerating to 5.3% YoY in April.

Industrial production slumped in April despite continued strength in export related categories



Sources: CEIC, ING

Fixed asset investment cratered back into negative territory

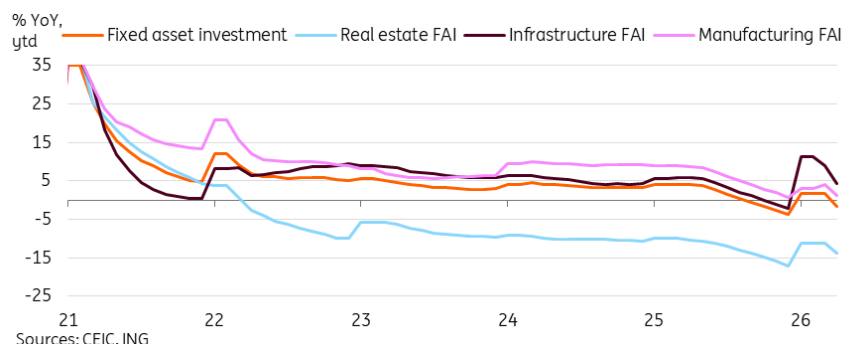
China's fixed asset investment saw a steep drop to -1.6% YoY year-to-date in the first four months of the year. This was much weaker than market forecasts largely looking for a stable or slightly weaker growth level. This was a steep drop from 1.7% YoY in the first quarter. It suggests a steep drop-off of investment in April as geopolitical uncertainty may have weighed on investment decisions.

Looking at the subcategories, there wasn't much to take away in terms of silver linings from April's data. We continued to see public investment at 2.5% YoY ytd outpace private investment, which fell to -5.2% YoY ytd, both sides saw a sharp drop in April.

Infrastructure FAI continued to decelerate, dropping to 4.3% YoY ytd after peaking at 11.4% YoY ytd in the first two months of the year. Manufacturing FAI slowed to 1.2% YoY ytd, dragged by pharmaceutical (-7.8%), specialised equipment (-6.0%), and auto (-0.5%) sectors. The exceptions included the rail, ships, and aeroplane sector (24.7%), and surprisingly, the textiles sector (12.1%).

Investment appetite has been very soft in the post-pandemic years. One element behind this is the impact of inflationary expectations. It at least is expected to turn around this year, though it will take some time before it's reflected in markets. The other element is persistent geopolitical uncertainty amid last year's trade war and this year's Iran war. Geopolitical uncertainty looks likely to remain a factor. There's hope that, after Trump's visit to China and the announcement of a new constructive strategic stability framework, we could see less volatile China-US ties moving forward. This could create a better environment for investment.

FAI fell back into negative territory as investment appetite stays sluggish



Property prices fall at a slower pace as tier 1 cities see gains

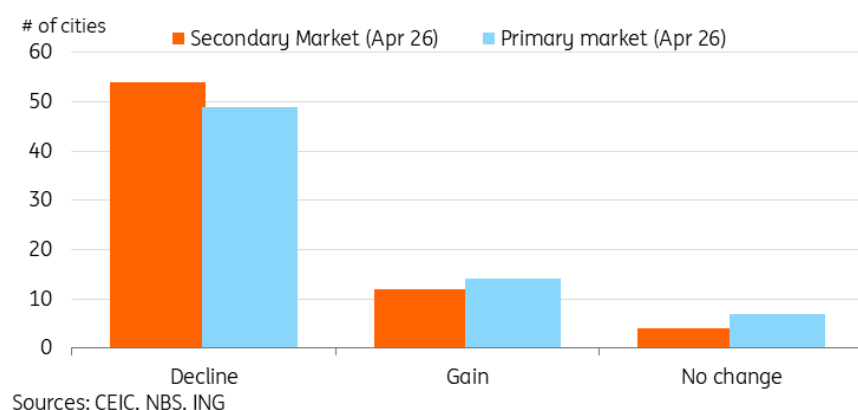
China's National Bureau of Statistics released its 70-city sample of property prices for April. New home prices fell by -0.19% month-on-month, while used home prices dipped by -0.23%.

The city-level breakdown continued to show decent strength. In the primary market, 21 cities saw prices stabilise or rise in April (up from 16 in March), versus 16 in the secondary market (down slightly from 17 in March).

In particular, we saw encouraging upticks in Tier 1 cities' secondary market prices, with a strong 0.7% MoM pickup in Shanghai, followed by 0.4% MoM in Beijing, 0.3% MoM in Shenzhen, and 0.2% MoM in Guangzhou. We have argued over the previous years that a broader turnaround would need to start from tier 1 and tier 2 cities, while lower-tier cities could face a more prolonged decline.

The April data suggest we are closer to a bottom in the property market, though we've had a couple of false bottoms in the past as well. A stabilisation in prices is a much-needed first step toward a recovery, as inventories remain high. This would take time to work through before a recovery in investment could take hold. With property investment still down -13.7% YoY ytd, it's likely that the property sector will remain a major drag on growth this year, even if we do see prices bottom out.

More cities saw price gains or stabilisation in April



April data highlights dilemma between growth and inflation

Disappointing April economic activity suggests growth will decelerate in the second quarter, after the first quarter comfortably beat expectations. A strong first quarter and continued resilience in exports suggest that China remains on track to meet its growth targets. But the sharper-than-expected deterioration in April's data highlights downside risks and should be seen as a warning sign that additional stimulus might be needed to stabilise the domestic side of the economy.

On the other hand, we see signs that [reflation momentum is strengthening](#) in China. PPI inflation and non-food inflation just hit 45-month highs, with further price pressures likely still ahead. Luckily for China, this rising inflation backdrop stems from a near-deflationary environment over the past few years. Thus, the People's Bank of China doesn't face the rate hike pressure that many global central banks are now facing.

Nonetheless, this combination of downside growth risks and upside inflation risks highlights the dilemma for policymakers. We've seen limited urgency for stimulus so far this year, but if data continue to deteriorate, this could change soon.

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The Commodities Feed: Oil rallies with US-Iran deadlock

Oil prices are rallying, with no end in sight to the disruption in energy flows from the Persian Gulf



Energy - US drilling activity picks up

The oil market continues to reprice ongoing supply disruptions, with last week's Trump-Xi talks yielding no tangible progress in the Middle East. There had been hope (possibly misplaced) that China could use its influence over Tehran to break the deadlock between the US and Iran. If anything, re-escalation risks are increasing, with a drone strike on the UAE's only nuclear power plant over the weekend. President Trump warned Iran that the "clock is ticking" and that "they better get moving, fast, or there won't be anything left of them." It's no surprise that Brent is trading stronger this morning after the aggressive rhetoric, moving convincingly above \$110/bbl.

Over the last week, there have been more vessels passing through the Strait of Hormuz. There were reports that Iran allowed 30 vessels to navigate the strait over a 2-day period last week. Also, several crude tankers have managed to get through. A Vietnamese-bound tanker carrying Iraqi crude, previously blocked by the US, received clearance to continue its journey. So while the standoff between the US and Iran continues, there are signs of a pick-up in shipping activity. However, this can change quickly.

Meanwhile, Iraq's oil ministry said that despite the disruptions in flows through the Strait of Hormuz, the country still managed to export 10m barrels of oil in April. This amounts to a little over 300k b/d. It shows that we are still seeing oil getting through, though at far-below-normal levels. Prior to the war, Iraq was exporting roughly 93m barrels a month through the Strait of Hormuz.

The ongoing supply disruptions mean the market has had to rely largely on inventory and alternative supply, where possible. This has included Russian oil, following the US's issuance of a waiver for Russian oil sales. It allowed a large amount of Russian oil floating at sea to be sold. This floating storage has grown since last year due to US sanctions. However, this waiver expired over the weekend, and the US has not extended it so far, despite the significant tightness in the oil market.

The latest positioning data shows that speculators reduced their net long in ICE Brent by 28,400 lots over the last reporting week to 345,805 lots as of last Tuesday. This move was driven predominantly by longs liquidating. Speculators likely took some risk off the table ahead of the Trump-Xi meeting, in case there were any Iran-related breakthroughs. However, the move in the market suggests that speculators have likely increased their long position more recently.

The latest data from Baker Hughes indicates that US producers may finally be responding to the higher price environment. The number of active oil rigs increased by 5 over the last week to 415, the highest count since November 2025. The cumulative increase in rigs over the last 3 weeks totals 8. Meanwhile, Primary Vision's frac spread count also shows a pickup in completion activity. Its count has increased to 184- up 5 WoW and the highest since June last year.

The European gas market is seeing renewed strength with little sign of a resolution in the Middle East. TTF broke above EUR50/MWh and this strength is continuing in early-morning trading today. We have highlighted several times that the gas market is underpricing the scale of the supply impact from the Persian Gulf. Asian buyers will need to enter the spot market to replace disrupted contracted cargoes from the Persian Gulf, increasing competition between Asian and European buyers. Storage in the EU remains relatively tight at 36% full compared to a 5-year average of 50% full.

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THINK Ahead: Politics meets the bond market (again...)

Not for the first time, it's Britain leading the way in what has been a grim week for the global bond market. Political drama is back, interest rate expectations are rising. But for all the noise, James Smith argues there are limits on how much politics is likely to drive central banks this year. Read on as he and the team look ahead to another busy week in markets



The UK's Mayor of Manchester Andy Burnham has his sights set on Downing Street

Politics meets the bond market (again...)

Let's face it: nobody does political drama quite like Britain. In a competitive field of big global stories – a global energy crisis, a meeting of two superpowers – the limelight has still somehow found its way back to London.

In case you're struggling to keep up (and who can blame you), the ruling Labour Party is in the midst of a leadership struggle. Prime Minister Keir Starmer, though still in office, is under existential pressure after poor local election results. A leadership contest looks increasingly inevitable. And if you believe the betting markets, Manchester Mayor Andy Burnham is the man to beat.

All of this has unfolded against the backdrop of a grim week for global bond markets. The UK's 10 year yield rose by more than a quarter of a percentage point. But Britain is hardly alone. US yields

are up around 20bp this week, while Germany's are higher by roughly 13bp.

That's an important reminder. For all the noise coming out of Westminster, it is still oil prices – and the outlook for global central banks – that are doing the heavy lifting for interest rates, both at the short and long end.

Of course, politics could matter more from here. There is [certainly scope for gilt yields to rise further](#) on domestic drama. But in practice, will politics really be a central driver of central bank decisions this year?

When it comes to Britain, I think it's important to keep things in proportion.

Yes, the political centre of gravity is likely to shift left. And yes, there is pressure to adapt the fiscal rules. But politicians across the spectrum are presumably acutely aware there are limits, with the shadow of the 2022 “mini budget” crisis still hanging over Westminster.

Where leadership hopefuls are talking about higher borrowing, the emphasis is overwhelmingly on investment – particularly capital intensive areas such as defence and social housing. In practice, we suspect any additional borrowing, if it materialises, is unlikely to exceed £15–20bn per year.

That is not trivial. And investors would no doubt start to question the UK's longer term commitment to fiscal restraint, particularly as we edge closer to what could be a challenging 2029 general election.

But that is not quite the question facing the Bank of England.

The Bank needs to judge whether a modest fiscal pivot of this kind would materially boost inflation over a two year horizon. And if it's going to be centred on investment, it's worth recalling that Britain's recent track record of actually building things is... not great.

Private housebuilding is almost 20% below its pre Covid level. Firms consistently cite planning constraints and regulation as key bottlenecks. Britain's infrastructure delivery record is no more inspiring.

That suggests any fiscal boost is unlikely to move the dial much for the Bank of England in the near term, particularly when you remember the next Budget isn't due until late Autumn. And with investment, there is always the counter question of how much it lifts the supply side of the economy and productivity, offsetting any inflationary impulse.

If you want a cautionary tale, look at Germany. Optimism last spring around vast defence and infrastructure spending faded quickly as it became clear that this was not something that would happen overnight.

A year on, there are some signs of progress. Defence spending, for example, began to pick up late last year. Carsten Brzeski [argues](#) the impulse is now “real”, with effects increasingly likely to show through this year and next – energy crisis notwithstanding.

Which brings us neatly back to energy.

When it comes to politics and its relationship with central banks, the far bigger question is whether governments across Europe are forced into much larger support packages than we have seen so

far. The fuel tax cuts announced in various countries are small beer compared with the 2–3% of GDP packages rolled out in 2022. That, in no small part, was why central banks across Europe were forced into steep rate hikes four years ago.

Whether similar pressure builds again this time will depend, above all, on where energy prices go next. You can find our scenarios in the latest [ING Monthly](#), or listen back to Warren Patterson walking through his outlook in our [recent webinar](#).

Two points from that discussion stand out.

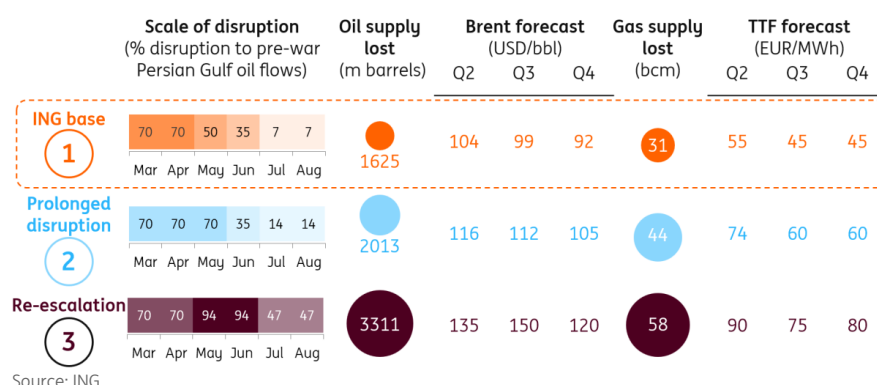
First, even if the war were to end tomorrow, energy prices may not fall as far as many expect. Significant drawdowns in oil inventories are likely to keep upward pressure on prices for some time yet.

Second, natural gas prices currently look too low. There is meaningful upside risk if disruptions persist into the third quarter, particularly as competition intensifies between Asian and European buyers for LNG.

It's a reminder that, for all the political noise, its energy prices will remain the dominant force for central banks. It's why we're expecting rate hikes from the Bank of England and European Central Bank in June, and why we no longer expect a Federal Reserve rate cut until December.

James Smith

Three scenarios for global energy markets



THINK Ahead in developed markets

United States (James Knightley)

- **Housing starts** (Thu): It is a quiet week for US data, with a focus on housing numbers. High prices and elevated mortgage rates are an obvious headwind that is hurting affordability and depressing activity. We will also have the FOMC minutes, which will underscore the hawkish shift seen in April when three members wanted more neutral language on where interest rates may head.

United Kingdom (James Smith)

- **Inflation** (Wed): Headline inflation is actually likely to dip in April's data, due next week. That

might sound strange as energy prices surge. But the timing of Easter is set to temporarily push down on CPI. So too will the fact that many of last year's administrative/regulatory price hikes weren't repeated at the start of this financial year – or not to the same extent. We're also looking for signs that lower wage growth and greater economic slack results in more muted annual price hikes across the service sector. If we're right, that should make some Bank of England officials more relaxed about the risk of second-round effects from the current energy crisis.

THINK Ahead in Central and Eastern Europe

Poland (Adam Antoniak)

- **Industry** (Thu): Activity in industry is on a roller-coaster ride. Following subdued output in the first two months due to harsh weather, industry rebounded sharply in March. Still, the general trend is far from positive. Industry has been nearly stagnant in recent years and weak external demand along with mounting competitive pressure from China poses a challenge for some sectors. At the same time, the Middle East conflict and unfolding energy crisis imposed yet another layer of risks and uncertainty. We expect the recovery in manufacturing to lose momentum ahead, even if short-term performance might be boosted by stockpiling. Upward pressure from energy commodities probably lifted PPI from over two-year-long deflation.
- **Labour market** (Thu): Wage growth continues its downward trend as the situation normalises after double-digit growth in 2023-24. In April, the lower annual dynamic was also probably facilitated by a high reference base due to high growth in mining. Employment in enterprises continues shrinking at a pace nearing 1% year-on-year as declining labour supply is facing somewhat softer demand.

Hungary (Peter Virovacz)

- **Wages** (Wed): It is hard to imagine anything stealing the limelight from the political headlines in Hungary nowadays. However, the ongoing issue of high wage growth would certainly exacerbate the complicated situation of the National Bank of Hungary. Strong real wage growth and rising consumer confidence could increase pipeline price pressure on top of the energy price shock. Meanwhile, the movement of the forint towards territory that would prompt the central bank to consider a dovish pivot sooner than expected is adding spice to the situation.

Czech Republic (David Havrlant)

- **PPI** (Wed): Higher oil and natural gas prices continued to pass through to producer pricing, when annual price dynamics in industry likely switched to positive territory in April, following more than a year of annual declines. This will further foster pressures on consumer prices, where goods price gains quickened in April.

Key events in developed markets next week

Country	Time	Data/event	ING	Prev.
Monday 18 May				
Italy	0900	Mar Global Trade Balance (EUR bn)	-	4.9
Tuesday 19 May				
US	1330	May 2 ADP weekly employment change (000s)	20	33
	1500	Apr pending home sales (MoM%)	1.1	1.5
Eurozone	1000	Mar Total Trade Balance SA (EUR bn)	-	7
UK	0700	Mar ILO Unemployment Rate	4.9	4.9
	0700	Mar Employment Change (000s)	160	25
	0700	Mar Average Weekly Earnings (3M YoY%)	3.7	3.8
	0700	Mar Average Weekly Earnings ex Bonus (3M YoY%)	3.5	3.6
Canada	1330	Apr CPI (MoM%/YoY%)	0.8/3.3	0.9/2.4
	1330	Apr Core CPI (MoM%/YoY%)	-/-	0.2/2.5
Netherlands	0530	Mar Trade Balance (EUR bn)	-	9.9
Wednesday 20 May				
US	1900	FOMC Minutes	-	-
Eurozone	1000	Apr CPI (YoY%)	-	2.2
UK	0700	Apr Core CPI (YoY%)	2.6	3.1
	0700	Apr CPI (MoM%/YoY%)	1.0/3.0	0.7/3.3
	0700	Apr Services CPI (YoY%)	3.4	4.5
Thursday 21 May				
US	1330	Initial Jobless Claims (000s)	215	211
	1330	Apr Housing Starts (000s)	1410	1502
Eurozone	0900	Mar Current Account SA (EUR bn)	-	24.9
	0900	May HCOB Manufacturing PMI Flash	-	52.2
	0900	May HCOB Services PMI Flash	-	47.6
	0900	May HCOB Composite PMI Flash	-	48.8
	1500	May Consumer Confidence Flash	-	-20.6
Germany	0830	May HCOB Manufacturing PMI Flash	50.8	51.4
	0830	May HCOB Service PMI Flash	46	46.9
	0830	May HCOB Composite PMI Flash	47.8	48.4
France	0815	May HCOB Composite PMI Flash	-	47.6
UK	0930	May S&P Global Composite PMI Flash	-	52.6
	0930	May S&P Global Manufacturing PMI Flash	-	53.7
	0930	May S&P Global Services PMI Flash	-	52.7
Sweden	0700	Apr Unemployment Rate	-	9.7
Friday 22 May				
US	1500	May Michigan Sentiment Final	48.2	48.2
Germany	0700	Q1 GDP Detailed (QoQ%/YoY%)	0.2/0.4	0.3/0.5
	0700	Jun GfK Consumer Sentiment	-35	-33.3
	0900	May Ifo Business Climate	83.8	84.4
	0900	May Ifo Current Conditions	84.5	85.4
	0900	May Ifo Expectations	83.1	83.3
UK	0700	Apr Retail Sales (MoM%/YoY%)	-/-	0.7/1.7
Canada	1330	Mar Retail Sales (MoM%)	-	0.7

Source: Refinitiv, ING

Key events in EMEA next week

Country	Time (BST)	Data/event	ING	Prev.
Monday 18 May				
Poland	1300	Apr Core Inflation (YoY%)	2.9	2.7
Romania	1100	Mar Current Account (EUR bn)	-	2.3
Wednesday 20 May				
Hungary	0730	Mar Average Gross Wages (YoY%)	9.0	9.7
Czech Rep	800	Apr PPI (MoM%/YoY%)	1.0/0.7	1.5/-1.1
Thursday 21 May				
Poland	0830	Apr Employment (YoY%)	-0.9	-0.9
	0830	Apr Wages (YoY%)	5.9	6.6
	0830	Apr Industrial Output (YoY%)	2.4	9.4
	0830	Apr PPI (YoY%)	0.2	-0.8
Friday 22 May				
Turkey	0800	Apr Trade Balance (USD bn)	-8.5	-11.2

Source: Refinitiv, ING

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UK assets markets starting to feel the heat

UK markets were under pressure on Friday as the leadership battle within the ruling Labour Party starts to open up. 30-year UK gilt yields have risen to levels last seen in early 1998 and independent sterling weakness is really starting to come through. A long hot summer for UK politics warns of more to come



What's happening

UK markets were under pressure on Friday as the leadership battle within the ruling Labour Party starts to open up.

To recap, this week's turmoil follows a very weak, but not totally unsurprising, set of local election results for Labour earlier this month. With Nigel Farage's Reform Party dominating the polls, and the Green Party increasingly dividing Labour's share of the vote, there's growing pressure on the party to change direction as it looks ahead to the next General Election in three years' time.

So far, formally at least, no leadership contest has been triggered. Keir Starmer remains both

Labour leader and prime minister. But it is only a matter of time.

Wes Streeting, until this week the Health Secretary, has resigned and is expected to stand, though it remains unclear whether he has support from the 81 Labour MPs required to trigger a contest. Comments from Streeting today suggest he has acknowledged a leadership battle will need to wait for the summer.

That's because Andy Burnham, Mayor of Manchester and favourite to become Labour leader, needs to be an MP in Westminster to be eligible to compete in a leadership contest. He has announced he'll be standing in Makerfield, a newly-vacated seat in the north of England, in a by-election that's likely to take place in the second half of June.

That in itself is no easy feat. Polls suggest that, in the absence of Burnham, Reform would win comfortably in Makerfield. Farage's party dominated the local elections in the area. Burnham will be banking on his local popularity to get him elected.

Assuming he does, that opens up a leadership contest that's likely to take place through the summer, with the results sewn up before the Labour Party conference in late September.

What gilt markets are watching

Until now, politics has not been the primary driver of gilt yields, which suggests there's still plenty of upside risk.

The Bank of England policy path has been lifted by higher oil prices over recent weeks. And we also have the Bank's Quantitative Tightening flooding the market with gilt supply at a pace of £70bn per year. Higher US Treasury yields, amidst very healthy US market sentiment, [is spilling over to gilt yields, too](#).

But as of Friday, there are signs that political uncertainty is starting to fuel those Bank of England rate hike expectations, too. Two rate hikes are priced by November and a third by March 2027. And even more interestingly, markets are not pricing in subsequent rate cuts over a two- or three-year horizon. Perceptions of the neutral rate – the level neither expansionary nor restrictive for the economy – have been repriced higher.

That tells us investors are most focused on the impact a leadership contest might have on Britain's fiscal trajectory, gilt issuance over the next couple of years, and its interplay with inflation. Burnham has said there's a case for exempting defence spending from the main fiscal rules, implying higher borrowing. Other Labour figures have flirted with extending the timeline of when the fiscal rules need to be met – which again makes it easier to boost borrowing in the near-term.

The biggest risk here is that investors begin to question the UK's longer-term fiscal discipline. Gilt markets rely on foreign investors and any signs that fiscal dynamics risk turning unsustainable could quickly turn sentiment. We've already seen that the uncertainty around the Autumn Budget last November added a risk premium of around 25bp to 10Y gilts. Right now, we estimate the premium to be around 10bp, higher than a few weeks ago, but still less than around November's budget.

Until we get a better understanding around the fiscal path forward, political risk premium is likely to keep rising. A rise towards 5.30% is quite possible in the near term.

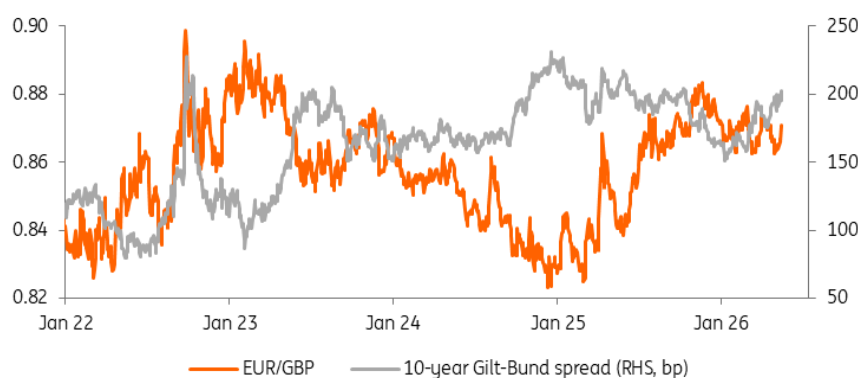
The reality might be different

With bond markets already under pressure, we suspect all leadership candidates will come until intense pressure to rule out big changes to the fiscal rules over the next few weeks. The memories of the 2022 mini-budget crisis haven't gone away.

We'd also note that fiscal changes are unlikely before the Autumn Budget. And until then, the Bank of England can only react to what is existing government policy. That suggests the leadership drama is unlikely to drastically alter the BoE's rate hiking path this summer.

Beyond politics, we also think Bank of England rate hike expectations look overblown. We expect one rate hike this year, but more importantly perhaps, a return to rate cuts in 2027. Once the near-term political noise has blown over, the direction for gilt yields is likely to be downwards across the medium term. We're forecasting the 10-year bond yield down to 4.5% through the middle of next year.

EUR/GBP versus 10-year gilt-bund spread



Source: Refinitiv, ING

Sterling is dragged into the sell-off

What has been noticeable over the last week is that sterling has finally been dragged into this political crisis. Up until recently, traded EUR/GBP volatility had been exceptionally low, near 4%, and the FX option market's view over its direction had not really changed much at all over the last year. Now participants in the FX options market are prepared to pay 1.1% extra for the right to buy over the right to sell EUR/GBP over the next three months. That is virtually matching last year's 'Liberation Day' highs, when global equity markets were hit hard and the growth-sensitive pound fell 5% against the euro.

Behind that recent stability in the pound might have been the BoE's relatively high policy rate of 3.75% (helpful in a carry-seeking environment) and perhaps ongoing interest from M&A activity. Year-to-date pending and completed target acquisitions of UK companies are up over 100% this year, compared to around 20% for Europe as a whole.

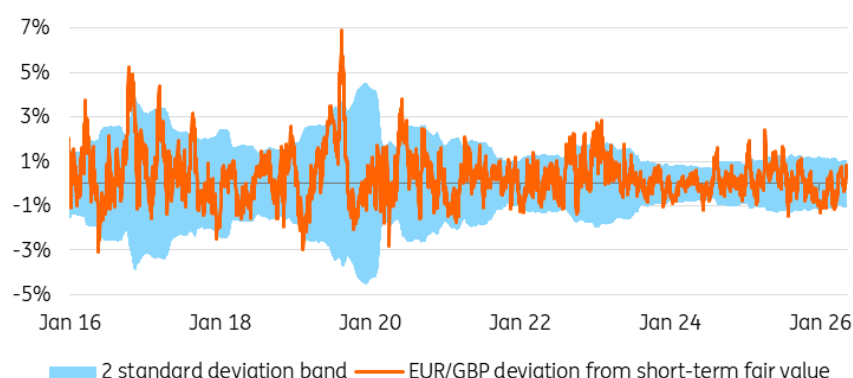
Yet the focus now shifts to the long, hot summer of the Labour leadership crisis and the question is how far sterling could fall if international investors really turned bearish on the pound. Over the years, we have found our Financial Fair Value model as a useful vehicle to evaluate the size of risk premium that could emerge in EUR/GBP. The model looks at where EUR/GBP is actually trading

versus where it might be trading were typical relationships with short-term rate differentials and equity performance to hold.

By our current reckoning, EUR/GBP is currently trading around 1% above fair value. As our chart below shows, EUR/GBP can trade as much as 5% over fair value in extreme conditions – such as in August 2019 when it looked like the UK would be leaving the EU without a deal. An extra 4% on EUR/GBP today warns that 0.90 is not out of the question this summer for EUR/GBP. For reference, the FX options market now attaches a 25% probability to EUR/GBP trading to 0.90 within the next three months.

Our baseline is for a slightly more modest advance in EUR/GBP to 0.88/89 in late summer – but the risks are clearly skewed to the upside.

EUR/GBP Financial Fair Value model



Source: ING calculations

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Sitting, waiting, wishing... for energy flows to resume

Energy markets remain extremely sensitive to developments in the Middle East, showing the significance of the supply disruptions we are witnessing. However, there have been several factors that have helped to take some pressure off prices



With no imminent peace deal in sight, stalled Hormuz flows continue to hold Brent above \$100/bbl

Falling Chinese imports and rising US exports offer relief to oil markets

It has been another volatile month in energy markets, with oil prices being whipsawed by Iran-related headlines. Cold water has been thrown over optimism for an imminent peace deal, after President Trump rejected Iran's counterproposal peace plan. And as a result, any hopes for a quick resumption in energy flows through the Strait of Hormuz have also faded, which has seen Brent trade convincingly back above \$100/bbl.

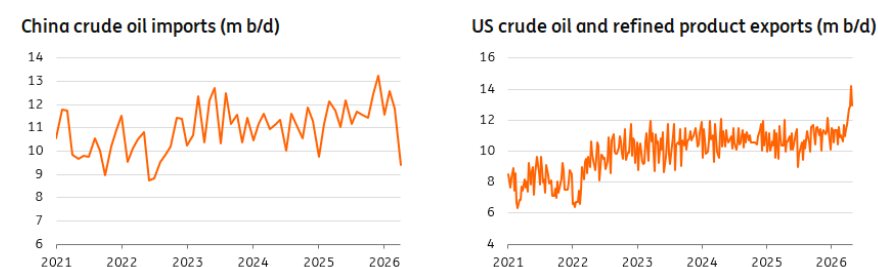
However, with the oil market facing a supply disruption of around 13m b/d, one may be surprised that we are not seeing much higher prices. There is an element of the market still clinging to some optimism that energy flows may start picking up. However, there are some fundamental factors that have also helped. Chinese oil imports have fallen significantly, while US oil exports hit record

levels consistently in April, which has helped to take some of the upward pressure off the market. But these are temporary solutions. China will be relying on inventory as imports fall, while similarly the growth in US exports is fed by inventory rather than supply growth.

Another element which has contained the market is that we have already started to see demand destruction in the oil market. Crude oil prices have not had to go as high as many would imagine to drive this decline in demand. This can be largely attributed to the relative strength seen in refined product prices (gasoline, diesel, jet fuel), reflected by the widening in refined product margins. The significant strength in refined product prices has meant that crude oil prices have not had to go as high to ensure demand destruction.

While there is still plenty of uncertainty over how the situation plays out, we are assuming some recovery in oil flows in the remainder of the second quarter, allowing for nearer to normal flows in the third quarter. Under this scenario, Brent averages \$104/bbl in 2Q26 and US\$92/bbl in 4Q26. Clearly, though, every day that goes by without a resolution pushes the market towards a much more aggressive scenario.

Chinese oil imports fall while US oil exports surge amid Persian Gulf supply disruptions



Source: China Customs, EIA, ING Research

Demand destruction keeps the gas market in check... for now

While European gas prices are trading above pre-Iran war levels, they have come off significantly from their peak following the start of the war. We believe that gas markets are underpricing the scale of the supply disruption. The gas market has less of a buffer to weather supply shocks, while there is little in the way of alternative routes for Persian Gulf LNG to move to its destination, other than going through the Strait of Hormuz. While ship tracking data shows that Qatar has shipped its first two LNG cargoes since the start of the war, this falls far short of normal flows.

There is not enough slack in the LNG market to offset these supply losses, so the market will have to rely on inventory and demand destruction to try to balance, which is what we have been seeing. In Asia, gas-to-coal switching is occurring within the power sector, while industrial demand is also coming under pressure. Meanwhile, relying on inventories means that buyers will have to come back to the market at a later stage to restock. The big upside risk for the market is if this restocking has to happen before energy flows through the Strait of Hormuz resume.

If we see Asian buyers coming into the spot LNG market to refill inventory/offset disrupted contracted volumes, this will increase competition between Europe and Asia for cargoes, which would push prices higher.

Gas storage in the EU is relatively tight, at 35% full compared to a five-year average of 48%. This will make the job of refilling storage tougher, especially as the TTF forward curve – currently in backwardation – does not incentivise storage. More flexibility in EU storage targets helps to take some pressure off the market heading into the 2026/27 winter. However, going into the winter with 75% full storage (which is the minimum allowed under extreme conditions) would leave the European market more vulnerable through the winter and risk higher prices.

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Energy shock drives broader inflation in Belgium - a warning sign for Europe

April's inflation jump in Belgium is no longer "just energy". It's starting to look broader. If this were to be seen across the eurozone, the European Central Bank would need to act or risk falling behind the curve again



2022 all over again?

For a central bank, a stagflation shock is a policy nightmare. Hiking rates won't lower oil prices, so it barely touches the root cause of inflation. Worse, higher rates would hit demand that is already squeezed by lost purchasing power. Yet if demand holds up, firms can pass costs on, and inflation broadens. That's exactly what happened in 2021-2022: what looked like a temporary energy spike became the strongest inflation surge since the 1970s, helped by post Covid pent up demand. The question is: are we heading down that path again?

A quick, sharp shock

Central banks, therefore, need to track prices closely to see whether the energy shock stays

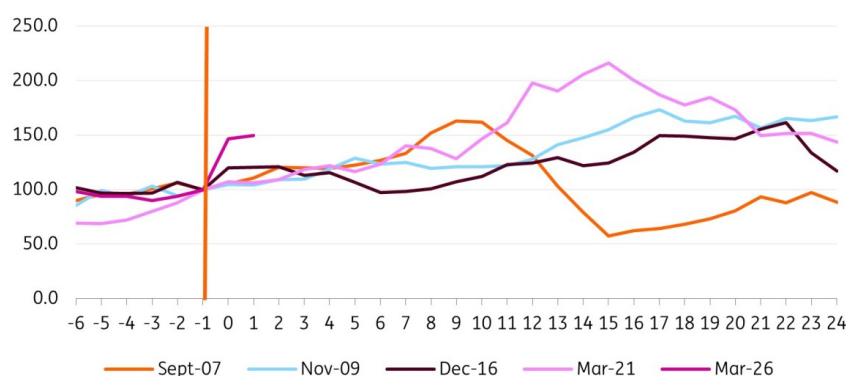
contained, or turns into a broader inflation wave. In Belgium, early signs of spillover are starting to stack up.

The initial jump in energy prices has been striking. The chart below compares recent episodes of oil shocks (here: at least +10% year on year in euro terms). It is rare to see oil rise this sharply and this quickly. As a consequence, Belgium's energy inflation swung from around -8% in January to above +12% in April.

This surge pushed Belgian headline inflation from 1.65% in March to 4% in April. Still, a broader inflation wave is not guaranteed. A violent energy shock can also curb consumption enough to limit pass through. To judge the risk, we need to look beyond headline figures.

Oil prices: the sharpest rise in 20 years

(oil price in euros during oil shocks; start of shock = 100)



Source: LSEG Datastream. Note : An oil shock is defined here as an increase of at least 10% in the price of oil in euros.

Belgium: signs of spillover

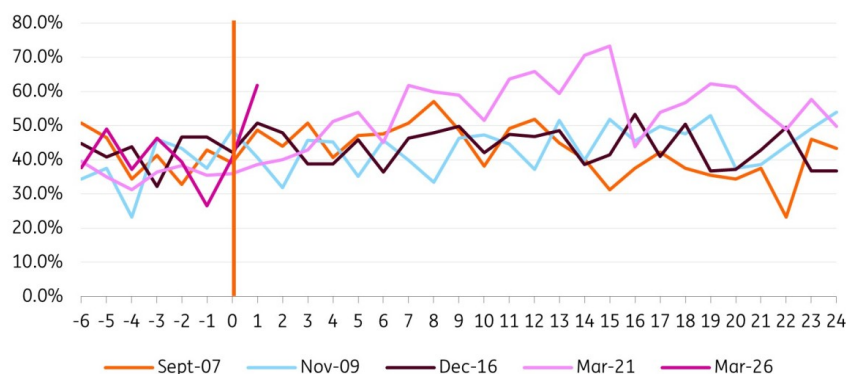
Belgium's consumer price index tracks roughly 215 categories of goods and services, each weighted by its share in household spending.

To see whether the shock is spreading, we can examine how prices move across those 215 items. In Belgium, the distribution is already shifting in a worrying direction:

- In a typical month, the price of 46% of items rises by at least 2%. That share was 39% early this year, but jumped to 51% in April.
- On a yearly basis, 24% of items usually run above 4% inflation. The share moved from 21% at the start of the year to 27% by April.
- Most telling: the share of items whose inflation rose versus the previous month. Historically, it averages 43%. It fell to 27% early this year, as a clear sign of inflation normalisation, then surged to 62% in April, a level rarely seen (chart below). During the last inflation wave, this metric led headline inflation (62% in Oct 2021; peak 73% in Jun 2022).

Low inflation early in the year made April's jump look even sharper. But it is becoming harder to argue that this is "just" energy. If April's pattern persists, and especially if it spreads across the euro area, the ECB's lesson from 2022 is clear: move early, or risk falling behind the curve again.

Share of items whose inflation increased month to month, across oil shocks



Source: Statbel. Computation: ING

Competitiveness at stake

In Belgium, inflation quickly feeds into competitiveness and public finances. Automatic indexation links wages and many benefits to prices, so inflation shocks rapidly lift labour costs and government spending. This renewed inflation will trigger nominal wage increases that were not priced in at the start of the year. Because neighbouring countries adjust more slowly, Belgium risks a short term competitiveness hit.

That said, the government had planned to tweak indexation from July. For a limited period, pay above the median wage (€4,000 gross) and benefits/pensions above €2,000 would no longer be fully indexed beyond those thresholds. The proposal satisfies neither workers, who would lose purchasing power, nor employers, who will face extra social contributions in exchange for the capped indexation system.

Unions and employers negotiated an alternative: keep automatic indexation, but smooth its timing, so wage costs adjust more gradually and competitiveness shocks are less abrupt. Despite the difficult social climate, the government has so far rejected this historic deal, arguing it would cost the public finances more in the short run than its own plan.

The timing of this new energy shock could hardly be worse: the price shock intensifies the debate over automatic indexation for most incomes, and raises the stakes for business competitiveness.

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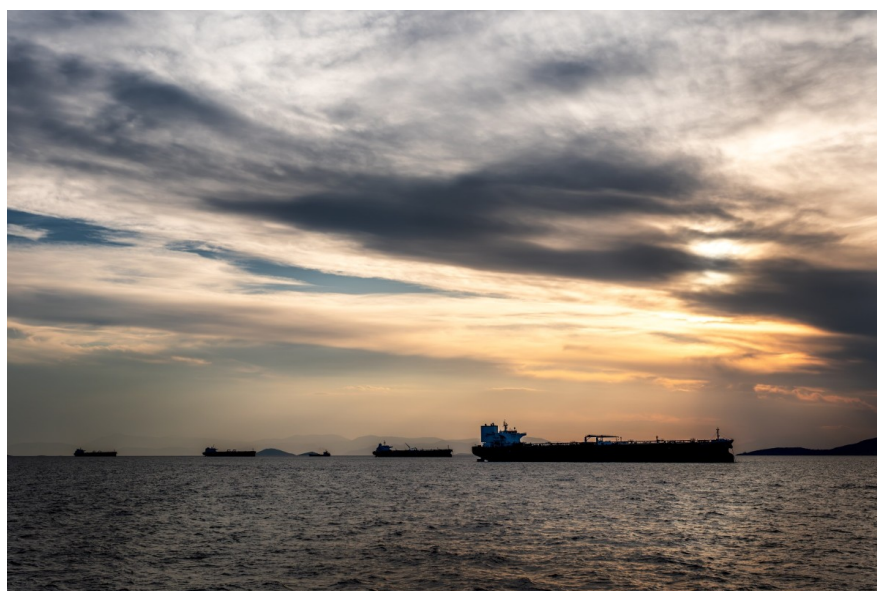
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Hormuz oil shock tilts shipping towards alternative fuels

The current oil price shock is making alternative fuels more cost competitive in the shipping sector. LNG benefits the most, becoming even more attractive compared to conventional bunker fuels. Methanol is also becoming more viable, strengthening the case for methanol-ready vessels. Still, the emissions benefits remain limited



Hormuz disruption has disrupted oil supply and pushed shipping fuel prices higher

Alternative fuels more attractive now as oil shoots higher

The Middle East conflict and blockade of the Strait of Hormuz have disrupted oil supply and pushed shipping fuel prices, like marine gas oil (MGO), sharply higher. In this environment, fuel strategy is no longer just about cost, but also about securing supply and managing price risks. At the same time, higher prices and greater uncertainty are shifting the relative economics of alternative fuels, even as regulatory progress has slowed with the delayed introduction of a global carbon price under the IMO's Net Zero Framework.

Prices for Marine Gas Oil spiked due to the closure of the Strait of Hormuz

MGO bunker prices in Rotterdam in \$ per tonne; we'll analyse two scenarios



Source: ING Research based on Refinitiv

Our modelling shows how the costs and economics of renewable fuels of non-biological origin (RFNBOs) – also called synthetic or e-fuels – change in a high oil price scenario, from a Northwest European perspective. The Middle East war has squeezed the supply of oil and oil products. LNG is similarly affected, but less so, as more capacity is coming online, and natural gas continues to be supplied through regional production and pipelines.

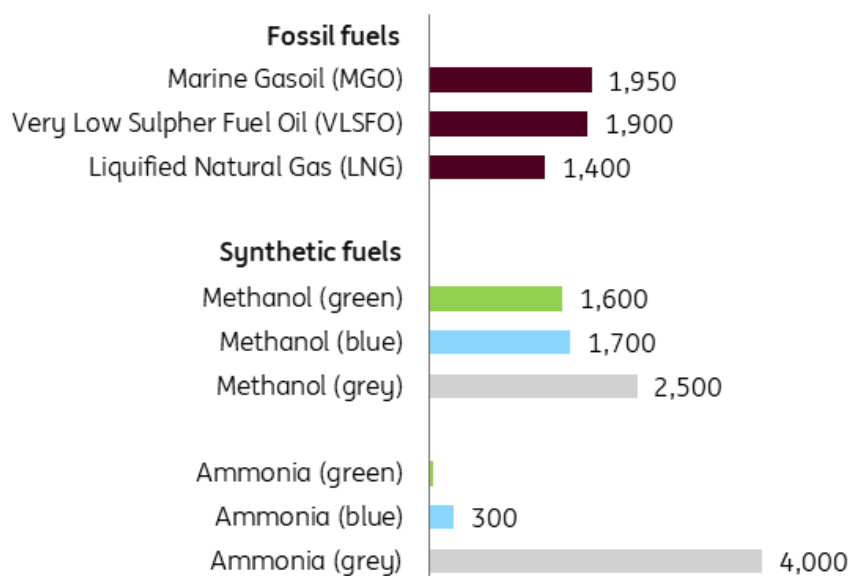
Our analysis translates the current geopolitical risk into a simple message for shipowners and cargo owners: when oil products spike and gas rises less, the relative economics of LNG and (to a lesser degree) methanol and even ammonia improve quickly, even if the absolute cost of all energy carriers rises.

Decarbonisation requires shift to lower carbon fuels

While geopolitical tensions do not alter the fundamental science behind decarbonisation, and hence emissions, they do influence the economics of the business case for different fuels. Traditional marine fuels such as marine gas oil (MGO) and very low sulphur fuel oil (VLSFO) currently generate approximately 1,900 kg of CO₂ per deadweight tonne for every 1,000 kilometres sailed. This carbon footprint can be lowered by transitioning to alternatives like LNG or synthetic fuels, like methanol and ammonia. However, meaningful climate benefits are achieved only when vessels use the green or blue variants of these synthetic fuels. Just switching to grey methanol or ammonia would only worsen the footprint to 2,500 or even 4,000 kg of CO₂.

LNG and blue and green versions of synthetic fuels can reduce carbon emissions from shipping

Indicative well to wake emissions for different shipping fuels in kilograms CO₂ per deadweight tonnage per 1,000 kilometres (kgCO₂/DWT/1,000km)



Source: ING Research

See the end of the article for a detailed explanation of the model and its underlying assumptions. In this analysis, the “colour” reflects the pathway used to produce hydrogen: grey hydrogen is derived from unabated natural gas; blue hydrogen combines natural gas with carbon capture and storage (CCS); and green hydrogen is produced with electrolyzers powered by low-carbon electricity. A key nuance is that methanol molecules inherently contain carbon. As a result, combustion always releases CO₂, regardless of the production pathway. Even green methanol therefore leads to residual emissions at the point of use. In addition, our modelling assumes that the carbon input for methanol production is sourced from natural gas, which reflects current industry practice in Europe. We therefore do not account for potential negative emissions that could arise from alternative carbon sources such as biomass or direct air capture (DAC).

Structural changes in fuel prices can significantly influence how and when alternative solutions are adopted within the shipping industry. To assess this impact, we examine the impact of current high prices on the business case for oil and gas-based shipping fuels and synthetic fuels like methanol and ammonia. The duration of elevated fuel prices remains a subject of intense discussion and is closely tied to ongoing geopolitical developments surrounding the closure of the Strait of Hormuz, as well as the potential damage to oil and gas infrastructure in the Middle East from further conflict. You can find our most recent scenario analysis [here](#). In this article, we set aside geopolitical factors and focus solely on how sustained higher prices affect the cost dynamics of various fuels.

When oil products remain high, LNG becomes more attractive

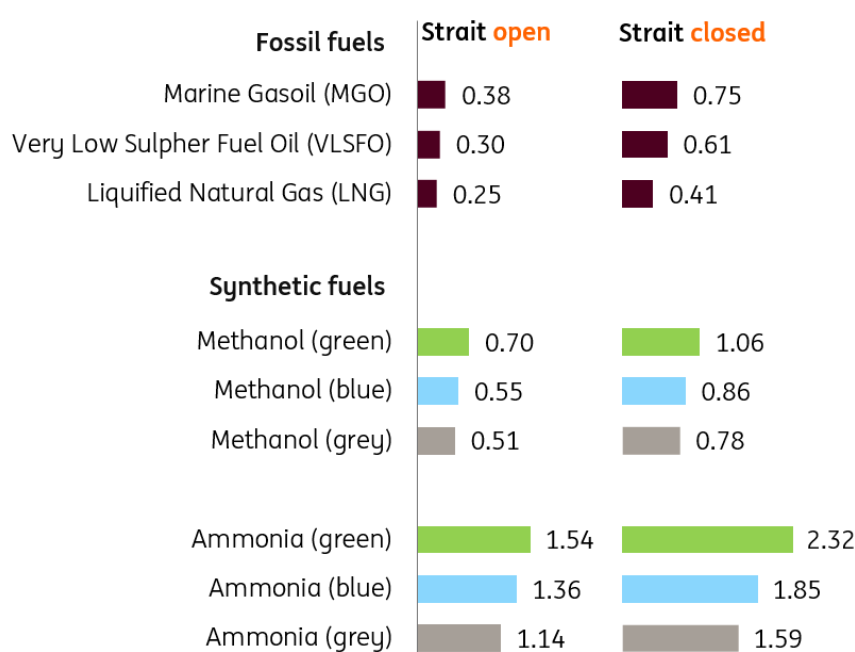
In the high-price scenario – the one most relevant under a continued Hormuz disruption – oil products become the big movers:

- MGO rises from 0.38 to 0.75 \$/DWT/1,000km (+97%)
- VLSFO rises from 0.30 to 0.61 (+103%)
- LNG rises from 0.25 to 0.41 (+64%)

The key mechanism is that the high case hits oil products harder than gas and power inputs. LNG becomes the most attractive “available now” hedge. In other words, the Hormuz-driven oil shock makes LNG not only a transitional decarbonisation option, but also commercially the most attractive option.

Hormuz disruption strengthens LNG’s position as synthetic fuels lag on cost

Indicative unsubsidised fuel costs in \$/DWT/1,000km



Source: ING research based on energy prices from Refinitiv and fossil fuel prices in shipping from Clarkson

Methanol gains traction faster than ammonia

Over the last three years, methanol has outpaced ammonia in commercial momentum in deep-sea shipping. There are four practical reasons:

1. Engine and vessel adaptation is simpler and faster. Methanol can be used in internal combustion engines with fewer “system-wide” changes than ammonia, which require more extensive redesign and new safety systems.
2. Bunkering and handling are more straightforward. Methanol is a liquid at ambient conditions, which reduces complexity compared to ammonia configurations.
3. A “ready now / ready later” option exists. Orders for methanol-capable and methanol-ready dual-fuel vessels have become a pragmatic bet: shipowners can run on conventional fuels

today and switch as low-carbon methanol supply grows. It is also a hedge against the possibility that policy pushes faster toward low-carbon fuels than infrastructure.

4. From a cost perspective, methanol is currently more attractive than ammonia.

Methanol's CO2 footprint signals a downside; only blue and green deliver progress

Methanol still contains carbon, which is emitted as CO2 when burned. This limits its CO2 reduction potential compared to ammonia, which is carbon free at the tailpipe. Only blue and green methanol deliver emission reductions relative to MGO and VLSFO and even then, the emissions reduction seems to be modest compared with LNG, at least in our framework, where methanol is currently predominantly produced from natural gas in Europe, compared to biomass (as a future green alternative), or coal (common practice in China). This matches our [earlier warning](#): synthetic fuels can increase emissions if they are produced in a non-sustainable way, because the production chain is energy-intensive and the carbon intensity of inputs dominates outcomes. The economics and climate credentials of gas-based methanol remain challenging compared to LNG, even when produced as blue or green variants.

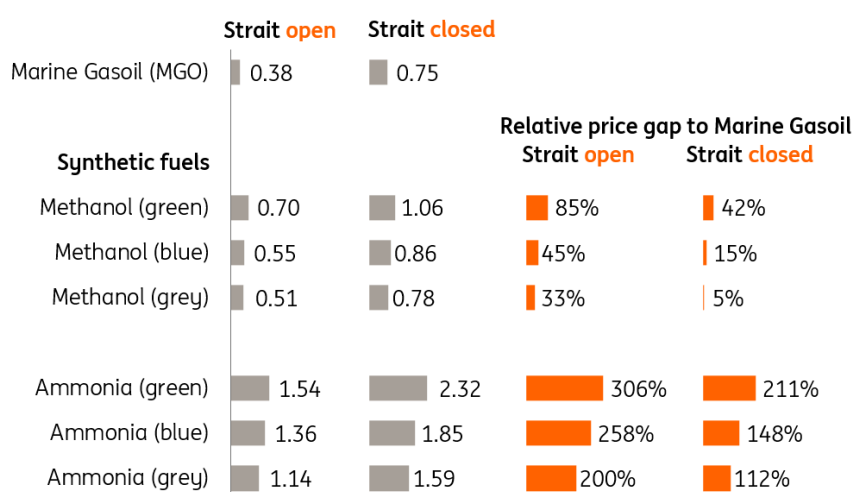
Methanol's biggest strategic value may be its optionality. When oil-product prices become more volatile, the value of being able to switch fuels - or at least switch procurement strategy - rises. That is precisely where dual-fuel capability becomes more than a decarbonisation story; it becomes a resilience story.

The oil shock narrows the methanol-oil price gap

Our model outputs show that higher prices for bunker fuels narrow the gap between methanol and marine gas oil (MGO). MGO roughly doubles in price, while methanol rises by about 50–60%. So relative competitiveness improves for methanol: while it is still more expensive, the *distance* between oil and methanol shrinks. But two important caveats remain. Oil products like MGO and VLSFO remain cheaper than blue and green methanol.

Price premium of synthetic fuels has narrowed now that oil prices are higher

Indicative unsubsidised fuel costs in \$/DWT/1,000km



Source: ING Research

Why blue methanol is probably the attractive variant

Given that the green hydrogen market is still [stuck in a pilot phase](#), blue methanol is a plausible near-term stepping stone: it scales earlier because it depends on gas plus CCS rather than small scale electrolyzers. This “blue-first, green-later” pathway is also consistent with how many heavy-industry transitions unfold: deploy the imperfect-but-better option first, then upgrade as clean technologies become cheaper and renewable power becomes more abundant.

Ammonia remains on the radar: expensive now – promising in the long run

Ammonia is expensive in its blue and green variants, but this would offer strong climate benefits and real progress in CO₂-reduction. Despite its challenging economics and inherent toxicity, market participants have not dismissed it as a viable option. The perception seems to be shifting from probably not to probably yes. But efficient usage is also a longer-term bet. Participants in the shipping sector now mostly refer to grey ammonia, which is already abundantly available for other purposes. But then again, this comes with more emissions, so it should not be viewed as a sustainable solution. However, overtime, blue and green variants could become more attractive if costs come down and carbon pricing is introduced.

LNG holds the best cards

LNG still looks like the stronger near-term route for ship owners, based on our numbers, because it combines lower emissions with lower costs compared to oil products. So, the Middle East oil supply crunch could accelerate a shift away from conventional fuels without necessarily accelerating a shift to synthetic fuels, like ammonia and methanol. It rewards the “closest substitute” that is available at scale, which is LNG.

That creates a strategic tension for the sector and for policymakers: energy security and cost pressures may drive faster adoption of LNG, while net-zero targets still require a ramp-up of truly low-carbon fuels like biofuels and synthetic fuels from blue and green production routes.

LNG vessels offer future flexibility for conversion to ammonia

While ammonia presents certain safety challenges, it holds significant long-term promise as a shipping fuel. The possibility of converting LNG-capable vessels to run on ammonia in the future enhances their strategic value, providing shipowners with greater flexibility. Investing in LNG-powered vessels is not only a cost-effective and lower-emission option in the near term, but also future-proof fleets, by allowing for a smoother transition to ammonia as technology and regulations evolve. As gas-propelled vessels, these ships can be adapted to operate on ammonia, supporting both decarbonisation goals and resilience in a changing energy landscape.

General momentum slowed amid policy headwinds

The total orderbook in global shipping also confirms that LNG leads as an alternative fuel. In May this year, 28% of the over 7,000 vessels on order are capable of running on alternative fuels, over half this share can run on LNG (15%). Methanol comes second, with particularly recent investments by several container liners.

After a post-pandemic acceleration, we saw orders for ships capable of running on alternative fuels slowed in 2025. During the second Trump administration, the United States shifted its policy and

effectively lobbied International Maritime Organization (IMO) members to oppose the adoption of global measures aimed at advancing the industry's climate ambitions and implementing a carbon pricing mechanism. Against this backdrop, companies – including frontrunners like Maersk – are still pursuing a diversified strategy and keeping their options open.

All eyes on IMO as shipping needs a global carbon price to decarbonise

The IMO's Marine Environment Protection Committee is still discussing a framework to deliver on the previously agreed net-zero target (NZF) for 2050. The proposal agreed in 2025, which has since been postponed by member states, includes a carbon price of \$100 per tonne of CO₂ for emissions within the baseline, and \$380 for non-compliance (we discussed the details [here](#)). Such a system could further narrow the cost gap with synthetic fuels and help pass additional costs along the value chain. After a year of delays, adjustments to the 2025 proposal now appear likely as stakeholders seek a compromise. However, it remains uncertain whether a final agreement will be reached.

It's important to keep in mind that shipping costs typically represent less than 5% of overall product costs that are being shipped. The high efficiency of shipping means that even if these costs increase substantially, the impact on end consumers is minimal and the price premium is barely noticeable for most products. However, this dynamic is quite different for shipping companies and charterers, which are directly affected by rising operational expenses. As such, effective policies are essential to address these challenges within the industry.

Cost, security and climate goals

In the current environment, shipping owners face significant uncertainty, as geopolitical tensions around the Strait of Hormuz continue to drive volatility in bunker fuel prices, like marine gasoil (MGO). Elevated MGO prices are narrowing the cost gap with synthetic fuels such as methanol and ammonia, at least in Europe. However, LNG stands out as the most cost-effective option, solidifying its position as the preferred fuel choice. Amid the ongoing conflict and unpredictable fuel availability, we expect shipping companies to look beyond cost considerations. Dual-fuel capabilities, diversified bunkering access, and flexible contracts that permit fuel switching are increasingly valuable strategies, especially if high prices persist. This dynamic is expected to accelerate orders for LNG, and methanol-ready vessels, supporting operational resilience while helping to future-proof fleets against further market disruptions. It may also help shipowners meet their climate targets by significantly reducing vessel emissions.

Appendix: scenario assumptions and model explainer

Two commodity price scenarios for the shipping sector from a Northwestern European perspective

Inputs	Low prices (Strait fully open)	High prices (Strait fully closed)
Gas & LNG (€/MWh)	30	50
Power (€/MWh)	75	120
CO ₂ (€/ton)	75	100
VLSFO (\$/ton)	500	1,000
MGO (\$/ton)	750	1,500

Source: ING Research

Model explainer

Indicative emissions are modelled for an 82,000 deadweight tonnage (DWT) vessel, assuming 230 sailing days per year at an average speed of 12.5 knots. The analysis adopts a full life-cycle perspective, covering both well-to-tank (fuel production) and tank-to-wake (onboard combustion) emissions.

Natural gas is assumed as the primary feedstock for grey and blue methanol and ammonia, reflecting current production in Northwest Europe. As a result, no emission reductions from biomass or Direct Air Capture (DAC) are included. While these lower-carbon sources could be deployed in future pathways, particularly for methanol, they would come at higher cost and result in lower overall emissions compared to our figures. In this analysis, the “colour” reflects the pathway used to produce hydrogen: grey hydrogen is derived from unabated natural gas; blue hydrogen combines natural gas with carbon capture and storage (CCS); and green hydrogen comes from electrolysis powered by low carbon electricity.

For blue production routes, a CO₂ capture rate of 80% is assumed. The relatively limited electricity demand in grey and blue pathways is assumed to be met by grid power with a carbon intensity of 200 kg CO₂/MWh, broadly representative of the Netherlands and Belgium.

For green methanol and green ammonia, it is assumed that electrolyzers are fully powered by low-carbon electricity (renewables, hydro or nuclear), sourced via Power Purchase Agreements (PPAs).

Emissions are expressed per tonne-kilometre, ensuring comparability across fuels.

In addition to the assumptions underpinning the emissions' analysis, we've used different economic assumptions for a world where the Strait of Hormuz opens or remains closed. Synthetic fuel costs are modelled using different values for gas, power, carbon and marine fuel prices (see table), while an exchange rate of €1 = \$1.18 is used in both scenarios.

Hydrogen production is assumed to take place within a 50km radius of methanol and ammonia plants, with transport via pipeline. This results in hydrogen costs of €1.80/kg (grey), €2.00/kg (blue), and €4.50/kg (green) in the low price environment and €2.70/kg (grey), €3.10/kg (blue), and €6.65/kg (green) in the high price environment.

Finally, the results reflect fuel costs only and exclude vessel capex and opex, so they do not represent total cost of ownership.

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Webinar: Directional Economics CEE – who breaks, who bends on Energy Shock 2.0

Join ING's CEE economists for a live webinar on 21 May, looking at how the region copes with the 2026 oil shock. We'll also be analysing the change of government in Hungary and what can be learned from Poland's political experience, plus whether CEE central banks are about to make a policy mistake in reacting to inflation. [Sign up here](#)



The oil shock is a macro stress test for the CEE region

Source: Shutterstock

The oil shock that began in March isn't just another commodity move; it's a macro stress test for the CEE region at a time when disinflation was maturing, fiscal space was narrow, and demand was largely fragile. The differences that matter most aren't how much oil a country imports, but who has the institutional shock absorbers to manage the blow.

Join ING's CEE economists for a live webinar examining the fall out on the region from higher energy prices.

You'll learn:

- Which countries entered into this shock in a better position

- Where the structural burden of high oil prices will be felt the most.
- What policy changes can and cannot do
- The spillover to the CIS economies, through external buffers and currencies

Moving away from energy and into politics, we'll also be looking at the challenges facing the new Tisza government in Hungary and what it can learn from Poland's Civic Platform which returned to power in 2023.

And we'll be wrapping up with a look across the region at whether any central bank tightening into this inflation shock would represent a policy mistake.

This webinar will follow the publication of the latest Directional Economics, complete with updated forecasts and analysis of the CEE economies.

Details

Date: Thursday 21 May

Time: 1300 BST/1400 CEST

The webinar will last 60 minutes, including a Q&A session at the end.

The event will take place online and the waiting room will open 60 minutes ahead of the scheduled start time.

A joining link will be emailed following registration, and you will receive a reminder email 10 minutes before the scheduled start time.

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Rates: The hidden force pushing gilt yields to record highs

The 10Y gilt yield hit new highs on the back of inflation and political risks, but investors should not ignore the role of the Bank of England's QT in this. We estimate the 2s10s GBP curve steepened by 60bp more than the USD curve due to the increased gilt supply and the divergence can continue. This could also be a lesson for Warsh who may look to walk a similar path



The Bank of England, London. The central bank's quantitative tightening is adding to the upward pressure on gilt yields

Global factors add to GBP term premium, but not entire story

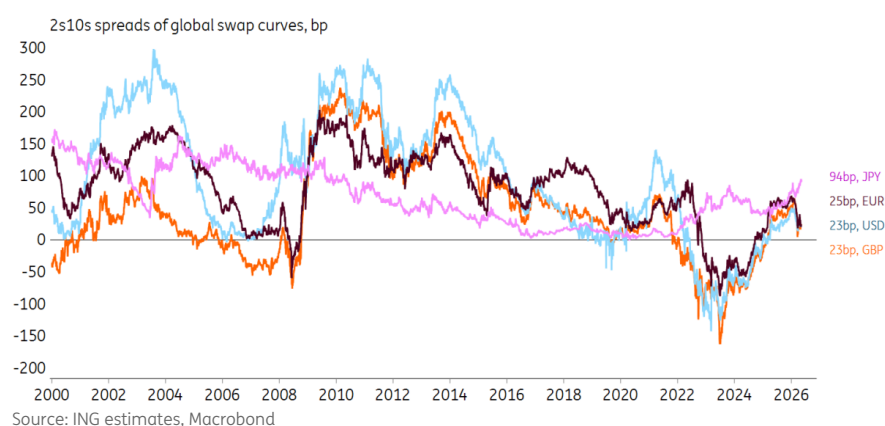
The 10Y gilt yield has hit its highest level since 2008, and whilst the near-term focus remains on oil prices and politics, the Bank of England's balance sheet unwind poses further upside risk. And with the discussion about quantitative tightening (QT) flaring up again in the US under new Fed leadership, markets can learn from the potential impact on US rates by looking at the UK.

Sterling rates are relatively sensitive to global market moves, and the spillovers from the US term premium play an especially important role. Between 2023 and today, the correlation of weekly changes in the 2s10s of the GBP curve and the US curve has been a significant 0.6. If we take the 2s10s term spread as a rough proxy of the term premium, both seem to be similar at first sight.

The market optimism in US equity markets helps the US curve steepen again and also adds to the upward pressure on gilt yields.

Japan's curve shows a very different picture, and therefore we cannot simply assume a single global factor explains all term premia. For one, Japan's economy has followed a very different path compared to other countries, experiencing stagflation for prolonged periods of time. Second, and of more importance to our analysis, is the fact that the Bank of Japan has intervened significantly more in the rates market through balance sheet policy than other central banks.

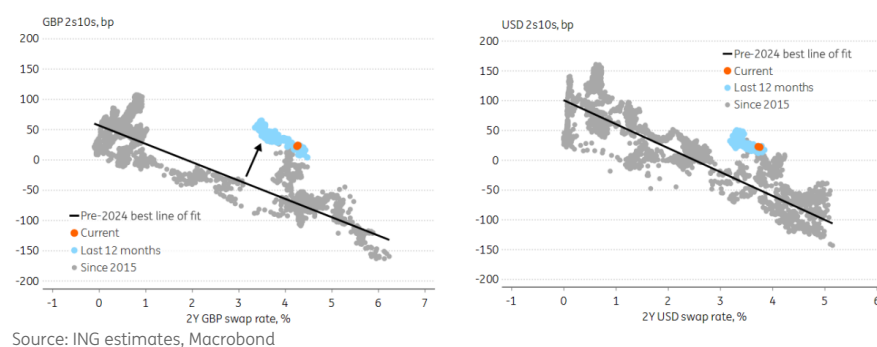
Global term premia are strongly correlated but domestic factors play a role too



Besides a global factor, the term spread is also driven by the business cycle. When a central bank hikes rates, curves tend to flatten, and vice versa. These moves seem more pronounced than purely explained by changes in the expected policy rates. As such, the 2Y rate is arguably an important ingredient for the term premium.

And indeed, when looking over the past decade, the 2Y and the 2s10s show a strong negative correlation. The interesting observation here is that the term premium of the GBP curves seems to have increased disproportionately to the change in 2Y rates. This effect is also visible for the USD curve, but to a much lesser extent.

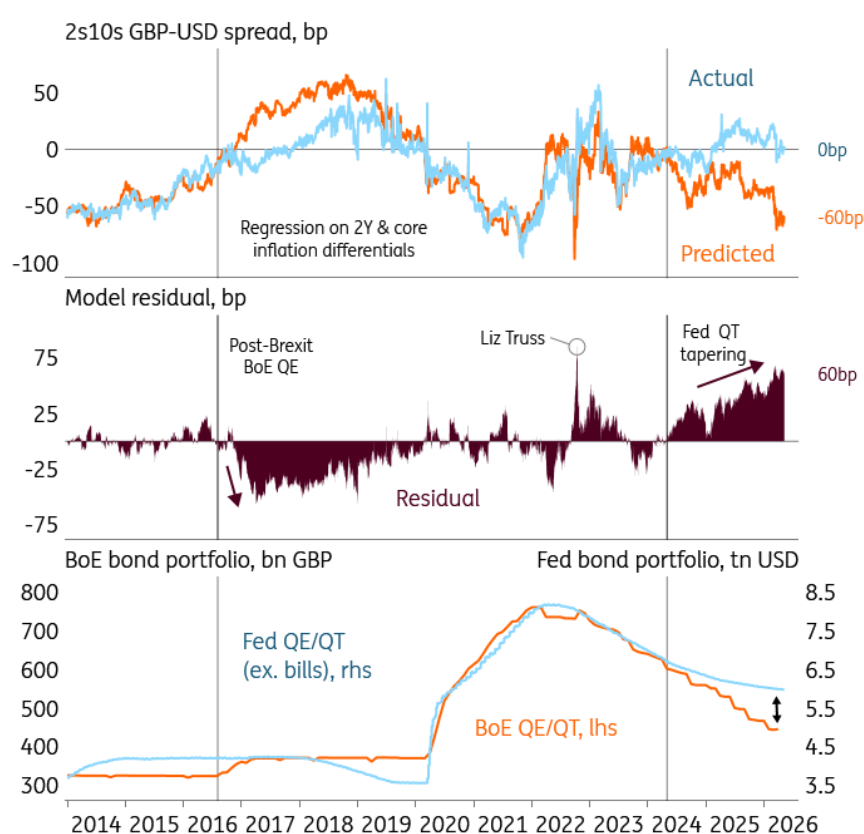
When accounting for 2Y dynamics, the GBP curve recently steepened more than the USD curve



We explore the divergence by looking at the spread differential of the 2s10s between the GBP and USD curve. Besides the 2Y spread differential, we add relative inflation to the model, which greatly improves the fit when used in conjunction with 2Y rates. Inflation differentials capture changing macro regimes and can help explain the term premium investors demand for holding longer dated bonds.

Our three variable regression model (Fig 3) captures 83% of the variation in the difference between the 2s10s of the GBP and USD curve, whereby especially the residuals are of interest. We can easily identify three events that explain the deviation from our model, namely 1) QE by the Bank of England starting in 2016, 2) the Liz Truss moment in 2022 and 3) the Fed's tapering of QT in 2024. Outside of these periods the residual is close to zero, suggesting we are not missing any important variables.

QT seems to play a part in explaining a 60bp steeper GBP 2s10s curve



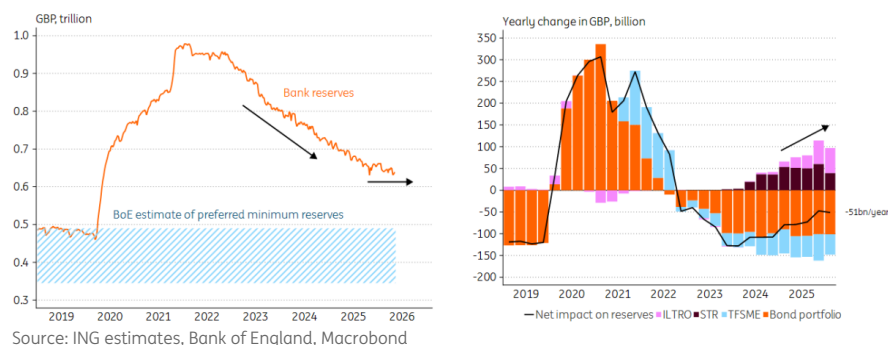
Source: ING, Macrobond

Whilst the Fed announced a significant tapering of QT in May 2024, the pace of QT has remained much higher in the UK, helping explain the residual in our model. The Bank of England is continuing with active sales, bringing the wind-down to a significant £70bn per year. In terms of numbers, the 2s10s GBP curve is now some 60bp steeper since this divergence in monetary policy.

The Fed faced reserve constraints, forcing it to slow QT, but the Bank of England does not have this problem, allowing QT to continue. Even though shrinking the bond book has extracted reserves

from the banking system, a significant uptake of the Short Term Repo (STR) and Indexed Long-Term Repo (ILTR) have managed to stabilise reserves. In effect, the market stress in US repo markets never showed up in sterling markets.

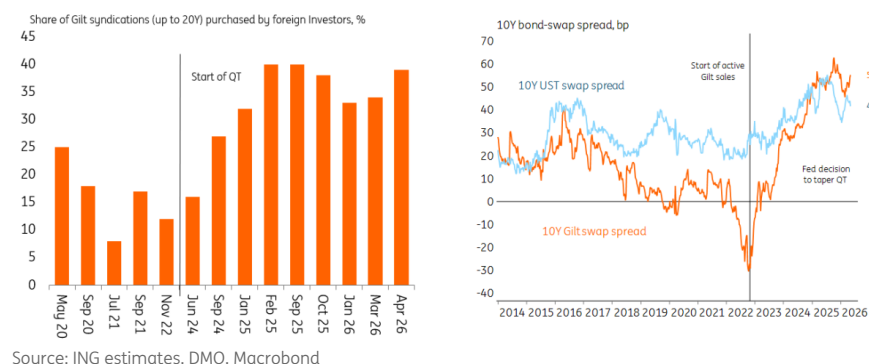
Significant pickup in BoE liquidity facilities are preventing reserves from falling, allow QT to continue



With money markets seemingly stable, in theory, the Bank of England can continue unwinding the gilt portfolio, albeit at the expense of higher government borrowing costs. An August report from the Bank of England suggested that QT had an impact of 15-25bp as of then on longer-dated rates. But when you also include the changes in swap spreads, our estimate of the impact from QT on gilt yields is significantly higher. Since the start of QT, the 10Y Gilt-swap spread rose more than 80bp, adding to the steeper swap curve.

With more gilt supply continuing to hit the market, including significant government issuance, investors may demand higher yields to be lured in. Already we see that gilt auctions have started to rely more on foreign demand to clear since the start of QT in 2023. Before 2023, the foreign uptake of gilt syndications up to 20Y was just 10%. This increased to over 25% after the start of QT. Foreign investors tend to be more price sensitive compared to domestic players such as banks, pension funds and insurance funds. Domestic players are more likely to buy gilts for reasons like liquidity and hedging regulation.

Since QT, gilt markets have relied on more price-sensitive foreign investors, helping push up 10Y gilt yields



So while we continue to see a rising term premium for the UK, we think a dovish repricing of policy rates should start bringing down the curve. But the scope for lower 10Y gilt yields is limited. We identify 4.5% as a realistic fair value in 2027. We believe the dynamics in the UK serve as a good lesson for Fed policy too. If new Chair Kevin Warsh manages to follow up with his plans to unwind the Fed's bond portfolio at an accelerated pace, then the US curve should see more steepening.

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